246 South 2nd Street OM

Base case · 9 condos over commercial

October 2026

Preliminary feasibility figures for discussion only. Not an offer to sell or a solicitation of an offer to buy securities. Projections are estimates and actual results may differ materially.

Investment summary

UPSIDE SCENARIO · MARKET-RATE CONDOS AT $1,650 / SF

$15.33M	$13.10M	$1.12M	$4.40M	10.8%	1.26x
GROSS SALES	PROJECT COST	PROFIT	EQUITY REQUIRED	IRR, ALL EQUITY	EQUITY MULTIPLE

The opportunity

Ground-up, 8-story, 85 ft mixed-use condominium on South 2nd Street in Williamsburg's Southside: 9 residences above two floors of commercial space.

- 246 South 2nd's own floor area in R6 with qualifying affordable housing, with the 5% Zone Green credit. No air rights or certificates needed.
- Residential: 6,879 sellable sf in 9 homes, one of them an affordable homeownership unit. Commercial: 1,717 sf at grade, a 2,616 sf 2nd floor and 1,857 sf below grade.
- Floor 8: a full-floor penthouse with a setback terrace and a 1,505 sf private roof. Common terrace on floor 3.
- All homes presell. All-electric, ultra-low-energy; 20-month build.

Capital

$4.40M of equity funds the land and pre-development. A construction loan of up to $9.30M (70% of cost, 9.5%) funds the balance; peak draw $8.63M.

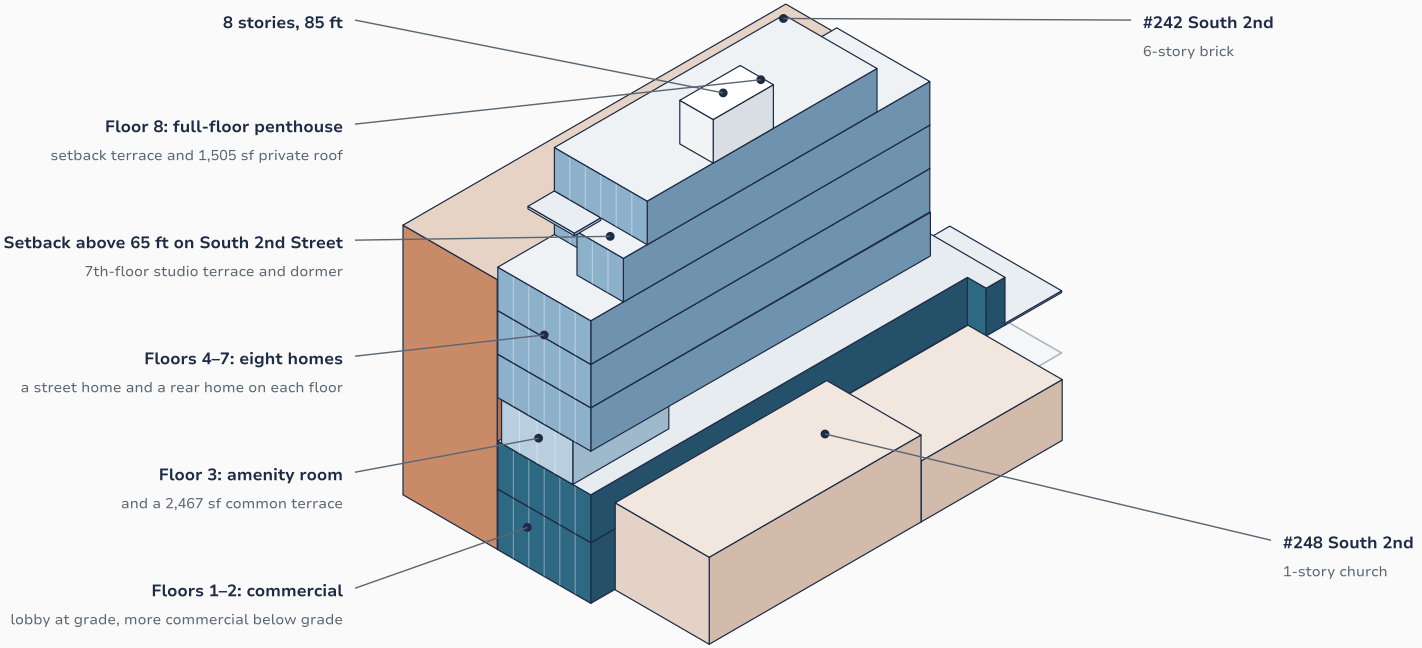
	BASE $1,450	UPSIDE $1,650
Sellable residential sf	6,879	6,879
Market-rate condo price	$1,450/sf	$1,650/sf
Residential condo sales	$9.03M	$10.23M
Commercial condo value	$5.10M	$5.10M
Gross sales	$14.13M	$15.33M
Net revenue, after sale costs	$13.08M	$14.22M
Total project cost	$13.10M	$13.10M
Profit	**–$0.02M**	**$1.12M**
Margin on cost	**–0.2%**	**8.6%**
Equity multiple	0.99x	1.26x
IRR, all equity	–0.2%	10.8%
Investor IRR, after pref and promote	–0.2%	9.7%
Sponsor promote	$0	$119,114

The two cases differ only in the market-rate condo price per sellable sf. The affordable unit sells at $300,000 and the commercial condo is valued at 0% vacancy in both. Break-even is about $1,454/sf.

USES	$	%
Land	$4.00M	30.5%
Hard costs	$6.53M	49.9%
Soft costs	$1.55M	11.8%
Loan fees and recording tax	$0.35M	2.7%
Construction interest	$0.60M	4.6%
Sponsor wind-down	$0.06M	0.5%
Total project cost	**$13.10M**	**100%**

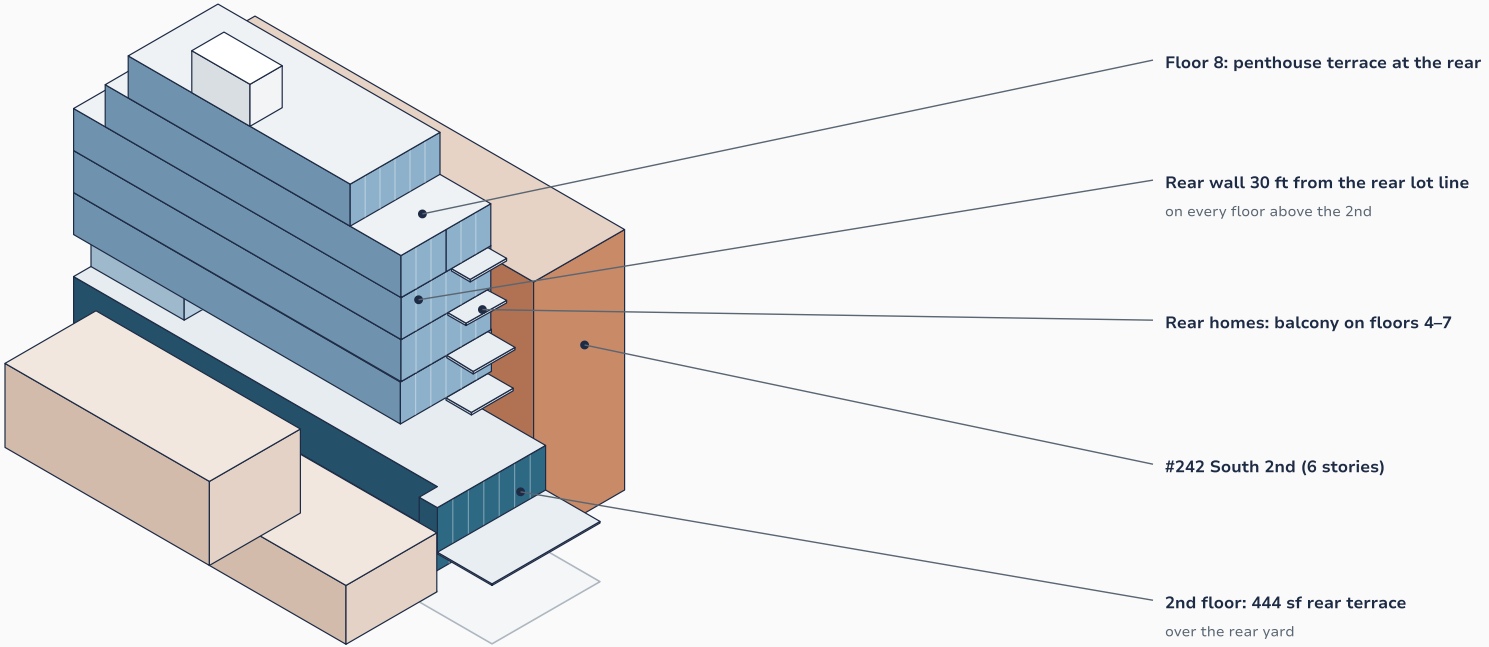
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The building, from South 2nd Street



Artist's rough massing from the floor area model, not a design: 8 stories, 85 ft, set back above 65 ft. Neighbors from the 2015 survey, heights estimated.

FROM THE REAR, OVER #248



Artist's rough massing, looking toward South 2nd Street from the rear over the one-story buildings at #248. The side walls are lot-line walls without windows; homes face the street, the rear and the light well.

Floor by floor

FLOOR	USE	GROSS SF	ZONING SF	SELLABLE SF	OUTDOOR SF
Cellar	Commercial and community facility	3,060	exempt	1,857	–
1	Commercial, lobby and core	2,344	1,509	1,717	–
2	Commercial, full floor	3,060	3,060	2,616	444
3	Common terrace and amenity room	–	–	–	2,467
4	4F affordable 1-bed · 4R 1-bed	2,035	1,798	1,572	81
5	5F 2-bed · 5R 1-bed	2,023	1,786	1,577	85
6	6F 2-bed · 6R 1-bed	2,020	1,793	1,577	55
7	7F studio + terrace · 7R 1-bed	1,728	1,511	1,290	343
8	PH, full floor	1,308	1,081	863	432
Roof	PH private roof	–	–	–	1,505
	Amenity and Zone Green deductions		*–1,042*		
Total	**9 homes · commercial condo**	**14,518**	**11,911**	**13,069**	**5,412**

From the floor area model. Gross and zoning floor area above grade; the cellar is exempt. Sellable sf to the offering-plan lines. The market-rate residential cap governs, so about 2,969 sf of the 4.8 FAR goes unused.

Zoning · R6 with qualifying affordable housing

Lot	**3,100 sf · R6, qualifying affordable**
Floor area allowed, 4.8 FAR	**14,880 sf**
Floor area used	**11,911 sf (80%)**
Market-rate residential, 2.2 FAR	**6,819 of 6,820 sf**
Affordable homeownership unit	**858 sf (4F)**
Commercial, 2.0 FAR	**4,234 of 6,200 sf**
Height	**84'-11" of 85 ft**
Street setback	**15 ft above 65 ft**
Rear yard	**30 ft above the 2nd floor**

The 5% Zone Green credit (627 sf) needs an ultra low energy, Passive House level building. Counsel and the energy consultant to confirm.

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Unit mix and revenue

UNIT	FLOOR	TYPE	BED / BATH	SF	$ / SF	PRICE
4F	4	Affordable 1-bedroom (for sale)	1 / 1	858	$350	$300,000
4R	4	1-bedroom	1 / 1	714	$1,450	$1,035,300
5F	5	2-bedroom	2 / 2	858	$1,450	$1,244,100
5R	5	1-bedroom	1 / 1	719	$1,450	$1,042,550
6F	6	2-bedroom	2 / 2	858	$1,450	$1,244,100
6R	6	1-bedroom	1 / 1	719	$1,450	$1,042,550
7F	7	Studio with street terrace	0 / 1	567	$1,450	$822,150
7R	7	1-bedroom	1 / 1	723	$1,450	$1,048,350
PH	8	Full-floor penthouse, 2-bed + private roof	2 / 2	863	$1,450	$1,251,350
Total		**9 units**	**11 / 12**	**6,879**	**$1,313**	**$9,030,450**

Base case: every market-rate home at $1,450/sf, a placeholder until the Southside comps are in. The affordable homeownership unit (4F) at $300,000, a placeholder for its affordable sale price. Each unit can carry its own premium or asking price; outdoor space is not priced separately.

Commercial condo · 1st and 2nd floors and cellar

At grade	**1,717 sf at $65 / sf / yr**
2nd floor	**2,616 sf at $40 / sf / yr**
Cellar, incl. community facility	**1,857 sf at $25 / sf / yr**
Vacancy · expenses · cap rate	**0% · 3% · 5.0%**
Commercial condo value	**$5.10M**

Gross to net, base case

Condo sales	$9.03M
Commercial condo sale	$5.10M
Gross revenue	**$14.13M**
Condo sale costs	–$0.52M
Commercial sale costs	–$0.50M
End-loan packages and releases	–$0.03M
Net revenue	**$13.08M**

SENSITIVITY: MARGIN ON COST

CONDO PRICE AND HARD COSTS

MARKET-RATE CONDO PRICE, $ / SF

Hard cost, $ / gsf	$1,450	$1,550	$1,650	$1,750	$1,850
$405 · −10%	5.9%	10.5%	15.1%	19.8%	24.4%
$428 · −5%	2.8%	7.3%	11.8%	16.3%	20.8%
$450 · as budgeted	**−0.2%**	4.2%	8.6%	13.0%	17.3%
$473 · +5%	−2.9%	1.3%	5.6%	9.8%	14.1%
$495 · +10%	−5.6%	−1.4%	2.7%	6.9%	11.0%
$518 · +15%	−8.0%	−4.0%	0.0%	4.1%	8.1%

Hard costs per gross sf above grade (14,518 gsf), the owner's $450/gsf budget. Each cell recalculated in the workbook, financing included.

CONDO PRICE AND LAND PRICE

MARKET-RATE CONDO PRICE, $ / SF

Land price, 246 South 2nd	$1,450	$1,550	$1,650	$1,750	$1,850
$3.00M	8.4%	13.1%	17.9%	22.6%	27.4%
$3.50M	3.9%	8.5%	13.0%	17.6%	22.1%
$4.00M · current	**−0.2%**	4.2%	8.6%	13.0%	17.3%
$4.50M	−4.0%	0.2%	4.5%	8.7%	12.9%

Purchase price of 246 South 2nd; today $4.00M. Each cell recalculated in the workbook, financing included.

Break-even: about **$1,454/sf**. A 15% margin on cost needs about **$1,797/sf** at today's budget and land price.

Loss · 0–10% · 10–15% · 15–20% · 20–25% · 25–30% · 30–40% · 40–50% · 50%+

Outlined: today's plan, $1,450/sf, hard costs as budgeted, land at $4.00M.